KAPCHORUA TEA KENYA PLC

AUDITED RESULTS FOR THE YEAR ENDED 31st MARCH 2020

Website: www.williamsontea.com

STATEMENT OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME FOR THE YEAR ENDED 31st MARCH 2020

	2020 Kshs'000	2019 Kshs'000
Revenue	**1,134,302**	**1,421,265**
Loss from operations before tax	(31,609)	(105,143)
Increase/(decrease) in fair value of biological assets	12,345	(57,165)
Net finance income	30,588	10,632
Profit/(loss) before taxation	11,324	(151,676)
Tax credit	8,113	26,011
Profit/(loss) for the year	**19,437**	**(125,665)**
Other comprehensive income for the year	17,980	-
Total comprehensive income/(loss) for the year	**37,417**	**(125,665)**
Profit/(loss) for the year comprises:		
Profit/(loss) arising from operating activities	10,178	(85,649)
Profit/(loss) arising from changes in fair value of biological assets	9,259	(40,016)
	19,437	**(125,665)**
Issued Shares of Kshs 5 each	7,824,000	7,824,000
Earnings/(Loss) per share (Kshs) - Basic and diluted	2.48	(16.06)

STATEMENT OF CHANGES IN EQUITY FOR THE YEAR ENDED 31st MARCH 2020

	Share Capital Kshs'000	Revaluation surplus Kshs'000	Retained earnings: Biological Assets fair value Kshs'000	Retained earnings: Other Kshs'000	Retained earnings: Total Kshs'000	Total Kshs'000
As at 1 April 2018	39,120	281,830	519,693	830,976	1,350,669	1,671,619
Loss for the year	-	-	(40,016)	(85,649)	(125,665)	(125,665)
Transfer of excess depreciation	-	(42,960)	-	42,960	42,960	-
Deferred tax on excess depreciation	-	12,888	-	(12,888)	(12,888)	-
Dividend declared-2018	-	-	-	(78,240)	(78,240)	(78,240)
Balance at 31 March 2019	**39,120**	**251,758**	**479,677**	**697,159**	**1,176,836**	**1,467,714**
As at 1 April 2019	39,120	251,758	479,677	697,159	1,176,836	1,467,714
Profit for the year	-	-	9,259	10,178	19,437	19,437
Other comprehensive income for the year	-	17,980	-	-	-	17,980
Transfer of excess depreciation	-	(18,681)	-	18,681	18,681	-
Deferred tax on excess depreciation	-	4,672	-	(4,672)	(4,672)	-
Dividend declared-2019	-	-	-	(78,240)	(78,240)	(78,240)
Balance at 31 March 2020	**39,120**	**255,729**	**488,936**	**643,106**	**1,132,042**	**1,426,891**

STATEMENT OF FINANCIAL POSITION AS AT 31st MARCH 2020

	2020 Kshs'000	2019 Kshs'000
ASSETS		
Non - current assets		
Property, plant and equipment	829,983	919,374
Right of use assets	19,821	-
Prepaid operating leases	-	19,845
Intangible assets	139	501
Unquoted investment	717	717
Biological assets - timber and fuel trees	215,614	220,347
	1,066,274	1,160,784
Current Assets		
Unharvested green leaf	10,351	895
Inventories	259,994	195,099
Trade and other receivables	206,526	138,751
Due from related companies	5,398	3,761
Corporate tax recoverable	40,659	48,785
Short term bank deposits	296,517	373,561
Cash and bank balances	56,283	111,537
	875,728	872,389
Total Assets	**1,942,002**	**2,033,173**
EQUITY AND LIABILITIES		
Capital and reserves		
Share capital	39,120	39,120
Revaluation surplus	255,729	251,758
Retained earnings	1,132,042	1,176,836
Shareholders' funds	1,426,891	1,467,714
Non - current Liabilities		
Deferred taxation	201,638	241,285
Provision for service gratuity	132,525	130,845
	334,163	372,130
Current Liabilities		
Trade and other payables	160,219	152,319
Due to related companies	18,311	39,486
Dividends Payable	2,418	1,524
	180,948	193,329
Total equity and liabilities	**1,942,002**	**2,033,173**

STATEMENT OF CASH FLOWS FOR THE YEAR ENDED 31st MARCH 2020

	2020 Kshs'000	2019 Kshs'000
CASH FLOWS FROM OPERATING ACTIVITIES		
Net cash (used in)/generated from operations	(32,391)	619,337
Interest received	29,396	15,850
Interest paid	(691)	(73)
Tax paid	(5,428)	(138,585)
	(9,114)	**496,529**
CASH FLOWS FROM INVESTING ACTIVITIES		
Purchase of property, plant and equipment	(42,452)	(71,947)
Purchase of intangible assets	-	(148)
Dividends received	684	4
Expenditure on biological assets	(4,070)	(3,688)
	(45,838)	**(75,779)**
CASH FLOWS FROM FINANCING ACTIVITIES		
Dividends paid	(77,346)	(77,613)
	(77,346)	**(77,613)**
Net (decrease)/increase in cash and cash equivalents	**(132,298)**	**343,137**
Movement in cash and cash equivalents		
At 1 April	485,098	141,961
(Decrease)/increase	(132,298)	343,137
At 31 March	**352,800**	**485,098**

COMMENTARY ON THE RESULTS

The Company reported a profit for the year of 19 million compared to a loss 125 million for the prior year. The very large crop volumes experienced at the end of the financial year and the reduced demand pushed the price of tea down as too much supply overtook demand with average prices falling by 12%.

DIVIDEND

The Directors resolved to recommend a final dividend of KShs 10 per share to be paid out of the retained earnings. The recommended final dividend, subject to approval, will accrue to the members on the register at the close of business on 30th July 2020. Thereafter, the register will remain closed from 31st July to 2nd August 2020, both days inclusive.

PROSPECTS

The extremely favourable weather conditions since October 2019 and huge increases on the tea supply side in Kenya when placed against a reduction in global demand results in extremely weak markets. Prices are in freefall and we do not anticipate any change to this situation as the year progresses. We shall continue to focus on crop and quality and managing our costs as we await improvement in the market.

ANNUAL GENERAL MEETING

In view of the COVID-19 pandemic, and to be in compliance with the prescribed government and ministry of health safety regulations, the company applied for and was granted leave by the Capital Markets Authority to conduct a virtual annual general meeting.

SUMMARY OF KEY AUDIT MATTER

The auditors' report on the financial statements include the following key audit matter: Valuation and measurement of biological assets.

BASIS OF PREPARATION OF SUMMARISED FINANCIAL STATEMENTS

The summarised financial statements have been prepared in accordance with the requirements of the Capital Markets (Securities) (Public Offers, Listings and Disclosures) Regulation, 2002 Requirements as applicable to summarised financial statements.

NOTICE OF MEETING

NOTICE IS HEREBY GIVEN that the 78th Annual General Meeting of the Shareholders will be held by electronic communication on Thursday 20th August 2020 at 10.00 a.m. for the following purpose:

Ordinary Business:

1) To receive and adopt the report of the Directors together with the audited financial statements for the year ended 31 March 2020.
2) To consider and approve a first and final dividend of Sh 10 per share for the year ended 31 March 2020 payable to the shareholders on the Register of Members.
3) To elect Directors:
   i) In accordance with Article 95 of the Company's Articles of Association, Mr. James Patrick Brooks retires by rotation and offers himself for re-election.
   ii) In accordance with Article 95 of the Company's Articles of Association, Mr. Edward Charles Magor retires by rotation and offers himself for re-election.
4) In accordance with the provisions of Section 769 of the Companies Act 2015, the following directors being members of the Governance Audit Committee, be appointed individually to continue to serve as members of the said committee:
   i) Mr.Mathew Koech
   ii) Mr.James Patrick Brooks
   iii) Mr.Edward Charles Magor
5) To approve the remuneration of Directors
6) To re-appoint Messrs Deloitte & Touche as Auditors of the company in accordance with the provisions of Section 721 (2) of the Kenyan Companies Act, 2015 and to authorise the Directors to fix the Auditors' remuneration for the ensuing Financial Year in accordance with the provisions of Section 724 (1) of the Kenyan Companies Act, 2015.
7) **Special Business**
   "That, by way of special resolution, Articles 55, 65 and 111 of the Articles of Association of the Company be and are hereby amended to provide for holding of annual general meetings, extraordinary general meetings and board meetings virtually and for voting to be carried by electronic means."
8) To transact such other business as may be brought before the meeting.

G K MASAKI
COMPANY SECRETARY

INDEPENDENT AUDITORS' REPORT ON THE SUMMARISED FINANCIAL STATEMENTS

TO THE SHAREHOLDERS OF KAPCHORUA TEA KENYA PLC

Opinion
The accompanying summarised financial statements of Kapchorua Tea Kenya Plc (the "Company") , which comprise the summarised statement of financial position as at 31 March 2020, the summarised statement of profit or loss and other comprehensive income, the summarised statement of changes in equity and the summarised statement of cash flows for the year then ended, are derived from the audited financial statements for the year ended 31 March 2020.

In our opinion, the accompanying summarised financial statements are consistent, in all material respects, with the audited financial statements of the company, in accordance with the requirements of the Capital Markets (Securities) (Public Offers, Listings and Disclosures) Regulation, 2002 (''the Regulations'') as applicable to summary financial statements.

Summarised financial Statements
The summarised financial statements do not contain all the disclosures required by the International Financial Reporting Standards as applicable to annual financial statements. Reading the summarised financial statements and the auditors' report thereon, therefore, is not a substitute for reading the audited financial statements of the company and the auditors' report thereon.

The audited financial statements and our report thereon
We expressed an unmodified audit opinion on the audited financial statements in our report dated 16 July 2020. That report also includes:
The communication of key audit matter related to valuation and measurement of biological assets. Key audit matters are those matter that, in our professional judgement, were of most significance in our audit of the company financial statements of the current period.

Directors' responsibility for the summarised financial statements
The Directors are responsible for the preparation of the summarised financial statements in accordance with the requirements of the Capital Markets (Securities) (Public Offers, Listings and Disclosures) Regulation, 2002 as applicable to summarised financial statements.

Auditors' responsibility for the summarised financial statements
Our responsibility is to express an opinion on whether the summarised financial statements are consistent, in all material respects, with the audited financial statements based on our procedures, which were conducted in accordance with International Standard on Auditing (ISA) 810 (Revised), *Engagements to Report on Summary Financial Statements.*

Certified Public Accountants (Kenya)
Deloitte Place
Waiyaki Way, Muthangari
P.O Box 40092 – 00100, Nairobi, Kenya

CPA Fred Aloo, Practicing certificate No. 1537 16 July 2020
Signing partner responsible for the independent audit

The above extract is based on the Financial Statements of Kapchorua Tea Kenya PLC for the year ended 31 March 2020 as audited by Deloitte & Touche who have issued an unqualified report. The Financial Statements have been prepared in accordance with the International Financial Reporting Standards.
The Company's annual reports and press release of the annual results can be accessed at the Company's website: www.williamsontea.com